higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

MARKING GUIDELINE

NATIONAL CERTIFICATE

ENTREPRENEURSHIP AND BUSINESS MANAGEMENT N5
(SECOND PAPER)

14 NOVEMBER 2019

This marking guideline consists of 9 pages.

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SECTION B

QUESTION 2

2.1 2.1.1 TOM BLACK SALARY PACKGAGE

Basic salary	35 000✓
Commission (3% of R780 000) percentage	23 400✓
Plus fringe benefits:	
House allowance	2 500✓
Car allowance	5 000✓
Meal subsidy	1 250✓
Medical aid	3 500✓
Pension fund	4 500✓
Gross Salary	75 150✓
Less tax – 28% of R75 150)	27 118✓
Net salary	**48 032**✓

(10)

2.1.2 Benefit not paid out

Medical aid R3 500✓
Pension Fund R4 500✓
R8 000✓✓ (4)

2.2 Exploitative authoritative style

- Responsibility and power are in the hands of the senior management.
- No trust and confidence in their subordinates
- Decisions are imposed on subordinates.
- Subordinates do not feel free to discuss things about their jobs with authorities.
- Very little teamwork and communication
- Motivation is based on treats. (Any 2 × 2)

Benevolent authoritative style

- Responsibility lies at the management level and not on the lower level.
- Management has confidence and trust in their subordinates.
- Master–servant relationships
- Subordinates do not feel free to discuss things about their jobs with superiors.
- Very little teamwork or communication
- Motivation is based on a system of rewards. (Any 2 × 2)

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Consultative authoritative style
- Responsibility is spread widely throughout the organisational hierarchy.
- The superior has substantial but not complete confidence in the subordinates.
- Superior and subordinates are involved in some forms of (work) job-related discussions.
- There is a fair amount of teamwork.
- There is both vertical and horizontal communication.
- Motivation is based on rewards and involvement in the job. (Any 2 × 2)

Participative authoritative style
- Responsibility is widely spread throughout the organisational hierarchy.
- High level of confidence in the subordinates
- High level of team work
- High level of communication and participation
- Motivation is based on productivity (Any 2 × 2)

(8 × 2) (16)

2.3 2.3.1
- Create an atmosphere that allows a person to contribute one idea only.
- Interrupt such a person and ask for a summary.
- Thank the person and request him/her to hear from other members of the group. (Any 2 × 2)

2.3.2
- Deal with conflict immediately and resolve it.
- Direct the question to the person and expect a positive response.
- Confront the degrader positively. (Any 2 × 2)

2.3.3
- All ideas and contributions should be welcome.
- Re-enforce this notion in private.
- Confront the degrader positively. (Any 2 × 2)

2.3.4
- Talk to the person privately.
- Encourage the person to share his/her idea with others in the group.
- Direct questions to the particular person when you know he/she has experience in or ideas on the subject. (Any 2 × 2)

2.3.5
- Advise him/her to stop what he or she is doing.
- Request them to share their conversation with the group.
- Stop the meeting. (Any 2 × 2)

(5 × 2 × 2) (20)

[50]

QUESTION 3

3.1 Yes, I support management's action.

- It is against the policy of any business to stay away from work without valid and authorised reasons.
- It has become a pattern and is consistent.
- It may have a negative effect on the business and other employees.
- It is in line with the Labour Relations Act on fair dismissal.
- Warning and counselling (Any 4 × 2)

OR

No, I disagree with the action of management.

- It will be a loss of income to the person, hence to the family.
- It is a personal matter to go drinking with his/her money.
- The business will lose valuable skills and experience.
- It may also affect the morale of other employees. (4 × 2) (8)

3.2 3.2.1

- Makes provision for safety of employees who are working with equipment, chemicals and machinery.
- Offers protection or physical safety of employees and promotion of occupational hygiene. (2 × 2)

3.2.2

- Determines the minimum working hours.
- Working conditions
- Stipulate annual leave, maternity leave, sick leave, minimum wages. (Any 2 × 2)

3.2.3

- It improves the process of collective bargaining.
- Its advances democracy in the workplace.
- It builds relationship between employers and employees.
- It is an agreement on how employees and employers should deal and engage with each other in the workplace. (Any 2 × 2)

3.2.4

- It provides an income for workers who lost their jobs through retrenchment.
- Ensures that both employers and employees contribute 1% of the salary to the fund.
- Fund only pays out to unemployed employees who was contributing to the fund. (Any 2 × 2)

(4 × 2 × 2) (16)

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3.3 3.3.1 Record keeping✓

- Record keeping could be expensive.✓
- System (computer) to handle this is costly. ✓
- Labour costs
- Stationery and postage

Tied-up capital✓

- Part of capital is tied up.✓
- Loss of interest✓
- Creation of additional business is lost.

Bad debts✓

- Loss of income✓
- Legal fees can be substantial.✓

Lost interest✓

- No interest on outstanding amount/money✓
- The business will pay more interest if business was financed with credit.✓

Follow-up cost✓

- Telephone costs✓
- Tracing costs✓
- Legal costs
- Opportunity costs (5 × 3) (15)

3.3.2 Internal sources of recruitment

- Company newsletter
- Notice board
- Internal memo
- Personnel records (Any 2 × 1)

External sources of recruitment

- Employment agencies
- Headhunting
- Walk-in by prospective employees
- Referrals
- Professional bodies
- Trade union
- Advertisements in the media (Any 3 × 1)

(2 + 3) (5)

3.3.3
- Ensure effective performance:
  Mr Bash must define what he expect from his workers.
- Measure the current performance:
  Performance must be measured against set standards to be able to detect deviation.
- Inform his workers:
  When errors, mistakes or deviations are detected, the workers should be properly informed and be allowed to explain.
- Select a remedial action:
  A decision has to be taken on how best to rectify and prevent further situations.
- Re-valuate the worker's performance:
  After remedial action has been taken, he must evaluate the worker's performance.
- Continue/Discontinue:
  Re-evaluation will reveal whether additional corrective measures have to be taken or whether the problem has been solved and the remedial action can be stopped. (6 × 1) (6)

[50]

QUESTION 4

4.1 4.1.1
- One should always remain positive about his or her ability.
- Be open to new ideas.
- Be creative and take initiative.
- Take the risk of doing new things, such as studying.
- Don't blame someone else for the situation. (Any 3 × 1)

4.1.2
- One needs to develop a personal mission statement.
- Set a personal goal.
- Develop workable objectives.

4.1.3
- Put first things first.✓
- Attend to important✓ and urgent✓ matters.

4.1.4
- Reach out to others.
- Build up friendly relationships.
- Develop a good working attitude towards all.
- Create opportunities for others. (Any 3 × 1)

4.1.5
- Build a team.
- Interact with other people.
- Encourage others to adopt a win/win approach.

(5 × 3) (15)

4.2
- People who encourage the group to determine their goal and plan the agenda
- Those who relate the group's activities to the goals
- Those who help the group to focus on real problems
- Draw from their experience for the growth of the business
- Encourage full participation
- Allow fruitful debates and challenges of ideas
- Listen and respect the opinions of group members
- Encourage members to share resources with each other (Any 5 × 2) (10)

4.3 4.3.1 Physical✓
- Stay healthy✓✓ – by doing regular exercise.
- Eat balanced diet.✓

Mentally✓
- Study✓✓ – read magazines and journals.
- Consult others in the industry.✓

Spiritually✓
- Believe in some higher power.✓✓
- Have a religion.✓
- Attend any form or type of spiritual gathering and meeting.

Socially/emotionally✓
- Meet and socialise with other entrepreneurs and learn from their experiences.✓✓
- Belong to a family or group.✓ (4 × 4) (16)

4.3.2
- By giving customers quick and efficient service
- By making them feel welcome and appreciated
- By understanding and appreciating them as valuable customers
- By giving them quality and affordable products (4 × 2) (8)

4.3.3 True (1)
[50]

QUESTION 5

5.1 5.1.1
- Increase in customers' income will increase his sales.
- Changes in customers' taste will improve his sales. It will yield more profit for the business.
- Satisfied customers will promote his business.

5.1.2
- Decrease in interest rate will mean more profit for the business.
- Expansion may be possible as loan repayment might be lower.
- More return on investment (Any 2 × 2)

5.1.3
- Help to cut down on overhead expenses
- Ensure that his suppliers' prices are competitive
- Help to gain economies of scale
- Improve his business quality
- Improve customer service
- Lead to competitive advantage (Any 2 × 2)

5.1.4
- Government projects can improve his customer base.
- Government intervention in creating business opportunities.
- Government policies that favour business will improve his business.
- Government tender may improve his cash flow. (Any 2 × 2)

5.1.5
- Favourable international business conditions will promote his business.
- Positive global influence will positively affect his business.
- More countries will import his goods or services.
- It may create more job opportunities. (Any 2 × 2)

(5 × 2 × 2) (20)

5.2 5.2.1
- Organise book fare for his customers.
- Donate books to customers.
- Sell educational and informative books
- Set up a library
- Create awareness of culture of reading
- Sponsors schools' competition
- Select credible authors
- Offer affordable prices
- Create jobs (Any 5 × 2) (10)

5.2.2
- Reward great work either individually or in groups – cash or in kind.
- Create a welcoming, friendly and comfortable working environment.
- Invest in staff training; create a culture of training, formal or informal.
- Speak regularly with your staff.
- Surprise staff and provide incentives, personalised gifts, day off – anything to get them excited.
- Lead by example – committed to the goals of the business; good mood.
- Develop great relationships in the work place – take time to get to know your staff.
- Empower them – give them more say in how they do their jobs.
- Ask for input and get suggestions on how to improve their performance.
- Offer opportunity for advancement – develop skills. (Any 7 × 2) (14)

5.2.3
- Price – affordable and reasonable prices
- Reputability – good and outstanding reputation
- Credit – offering credit facilities
- Distance – close enough location
- Quality – good, reliable and available good products/services

(Any 3 × 2) (6)
[50]

TOTAL SECTION: 150
GRAND TOTAL: 200